



JemHR

Business Discovery Presentation

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Team Introduction



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- 4 Preliminary Market Sizing
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Executive Summary

Executive Summary Index

		Summary of Findings	References
2	HR & Regional Industry Trends	- Digitization of HR services is crucial for ensuring productivity, employer-employee engagement and employee satisfaction. - Digitizing HR can address key challenges such as employee disconnection, unpredictable schedules, and skill gaps, thereby enhancing frontline workforce engagement, satisfaction, and productivity.	<u>6, 7</u>
3	Competitive Analysis	JEM HR will play a crucial role in transforming the frontline employees experience in South Africa for years to come as digital HR Tools are currently expanding locally and globally.	<u>9</u>
4	Preliminary Market Sizing	- In the South African Low-Income Retail Industry, 294 Companies were estimated to fit JemHR's ICP - In the South African Construction Industry, 34 Companies were estimated to fit JemHR's ICP - In the South African Manufacturing Industry, 7 Companies were estimated to fit JemHR's ICP	<u>11</u> <u>12</u> <u>13</u>
5	Considerations & Next Steps	JemHR is recommended to enter the low income retail industry first	<u>14</u>

HR & Industry Trends

A

HR Trends

B

Regional Industry Trends

Digitization of HR services is crucial for ensuring productivity, employer-employee engagement and employee satisfaction.

Key Stats

80%

Of workforce is
frontline

60%

Of workers are
dissatisfied with
current tech

45%

Likely to change
employees

Key Industries: Retail, Construction,
Manufacturing

Current HR Trends

- Increasing use of mobile applications and cloud-based HRMS like Sage, Workday, SAP SuccessFactors.
- Benefits include cost-effectiveness, flexibility, and enhanced support for decentralized workforces.

Apps & Cloud-based HRM challenges

- Challenges like digital literacy, device access, and network reliability e.g. Workday has integration issues.
- Common issues include high costs, limited customization, and low adoption rates due to resistance to new technology.

Key Challenges

- **Inadequate Technology & Resources:** Limited access to modern digital tools.
- **Payment Issues:** Inaccurate and delayed payments and printing payslips due to digital system fears.
- **Communication Gaps:** Inefficient communication channels and reliance on notice boards and verbal announcements.
- **Inefficient Shift Management & Work-life Balance:** Inconsistent and stressful shift management and overworking.
- **Poor Recruitment, Training & Onboarding:** Inadequate training and professional development.
- **Safety & Health Concerns:** Unsafe working conditions, especially in construction and manufacturing.

Impact on Employee Satisfaction & Retention

- **Poor communication and inadequate training** making workers feel undervalued, unprepared, neglected, disconnected and job dissatisfaction.
- Inconsistent or **last-minute scheduling** disrupts work-life balance, increases stress and leads to burnout.

The Future of HR

- **A growing demand for cloud-based HR systems**, as these systems provide the flexibility and scalability for managing distributed workforces therefore enhancing productivity and engagements.
- **Digital platforms** are crucial for enhancing communication, streamlining processes, and providing real-time access to information for workers enabling performance tracking, informed decision-making and overall employee engagement and efficiency.



Digitizing HR can address key challenges such as employee disconnection, unpredictable schedules, and skill gaps, thereby enhancing frontline workforce engagement, satisfaction, and productivity.

RETAIL

Makeup: 2nd largest employer, 20% of GDP; chains to convenience stores
Challenges: \$197M lower than '21 record high sales. Difficult to compete with other industries in the “war for talent”.
Prevalent “retail myth”: often associated with store-based activities, minimal training, poor working hours, low compensation, dull and boring work content, and limited advancement. Benefits include cost-effectiveness, flexibility, enhanced support for decentralized workforces.

- Use digital tools to identify gaps in workforce and ensure effective workflow to boost sales
- Employee engagement platforms and training modules → foster skills and boost morale
- Automating payroll, benefits, and recruitment processes, enhancing policy creation, and reduce labor-intensive tasks to improve outlook on retail (only 58% of retail students want to actually work retail and nearly 50% don't want to study it at all)

CONSTRUCTION

Makeup: 5.3% and 7.8% of South Africa’s formal, informal employment sector; includes carpenters, bricklayers, plumbers, operators of heavy machinery
Challenges: working conditions have been poor, safety risks have increased, and work hours remain long; construction mafia forcefully extract protection fees from companies through intimidation; low productivity, shortage in skilled labor due to wide gap between available and required skills; prevalent strikes.
Key Players: WBHO, Raubex Cons. and Concor

- Guidance on workplace safety, discrimination, and fair treatment, as well as online training programs → build competence, portable skills
- Better recruitment through online platforms rather than via most common form of word-of mouth → finding more qualified candidates
- Enhancing trust and communication between employees and management → decrease strikes, increase productivity, worker satisfaction

MANUFACTURING

Makeup: Concentrated in metal, petrochemical, automotive, food industries; mainly concentrated in Johannesburg; cars, beverages, steel drive recent income
Challenges: declining workforce as they now must operate modern tech and adapt to new techniques; insufficient skills ultimately increase wage differentials. Absenteeism, job insecurity, burnout, turnover intention, low commitment and productivity, discomfort in work environment, insufficient communication.

- Shift towards automated vocational training, reskilling & upskilling via learning platforms to increase commitment & quality of work
- Creating a digital messaging system that’s easy to access on their own time; work-related matters in centralized location; demonstrate employer’s value of workers
- Using a digital platform to establish appropriate time schedules; find peak/non-peak production times of business to schedule according to production flow

Internal & External Analysis

JemHR will play a crucial role in transforming the frontline employees experience in South Africa for years to come as digital HR Tools are currently expanding locally and globally.

JemHR INTERNAL ANALYSIS

STRENGTH	WEAKNESSES
- Unique and innovative framework - Already serves 100,000+ employees and 130+ employers, demonstrating strong product-market fit and positive customer feedback - High growth, strong traction and low churn rates - Affordable pricing - It takes minimal time to implement	- Reliance on Whatsapp - Advertisement and visibility gap - Only addresses companies with a large workforce according to the old business model (500 +)
OPPORTUNITIES	THREATS
- Expansion into new industries - Curtailing services to meet industry-specific requirements	- Local and global competitors (direct and indirect competition) - Possibility of WhatsApp crashing - Data breaches and security threats

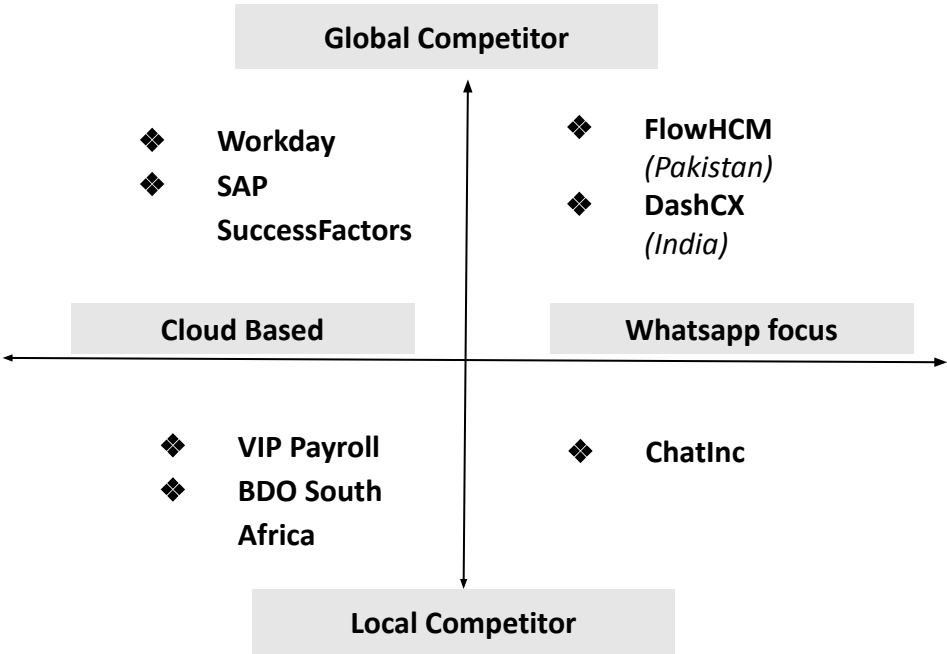
JemHR EXTERNAL ANALYSIS

CUSTOMER, COMPETITOR, COMPANY

Jem achieves high levels of **consumer satisfaction** by providing significant **cost and time savings**.

Fills a significant **communication gap** between frontliner employees and their employers.

It's **facing competition globally and locally** on its Whatsapp solution from e.g. ChatInc, FlowHCM. And industry competition from Workday, VIP Paroll, etc.



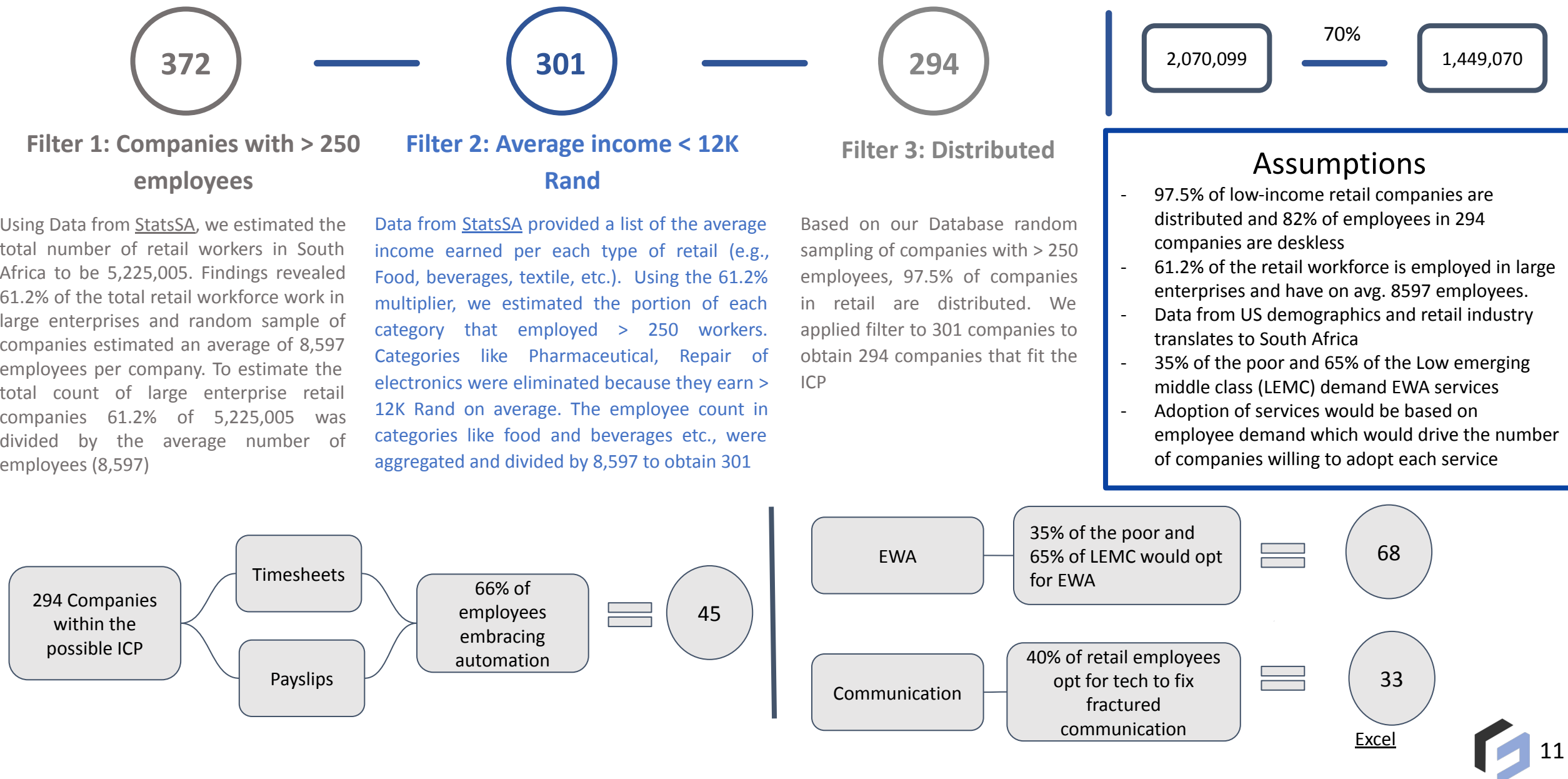
Preliminary Market Sizing

A Low-Income Retail

B Construction

C Manufacturing

In the South African Low-Income Retail Industry, 294 Companies were estimated to fit JemHR's ICP



In the South African Construction Industry, 34 Companies were estimated to fit JemHR's ICP



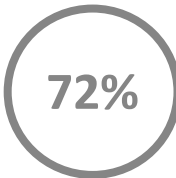
Large Enterprises in the Industry (250+ Employees)

Data from StatsSA showed the total count of employees in the construction industry to be 473,214 and 22.5% of construction companies were large enterprises (250+ employees). The remaining 77.5% of companies were then eliminated on account of size. Random sampling provided an average employee count of 1,812, divided from 22.5% of 473,214 (106,473) for a total of 59.



Companies with 250+ Employees and <12K Rand p.m.

Found the average income for various types of services within the industry. Eliminated service lines such as site preparation, construction of civil engineering structures and renting of construction equipment as they had salaries above 12K Rand p.m. Remaining service lines included building construction, plumbing and painting and decorating, among others.



Percentage of Deskless Employees

Broke down the different roles of construction companies into deskless vs. non deskless, finding 72% in the industry were deskless. The 72% deskless was estimated to be close as to the maximum percentage of deskless workers for an industry as possible, given the need for management and administrative staff, qualifying all remaining construction companies for the ICP.



Total ICP fitting Employees

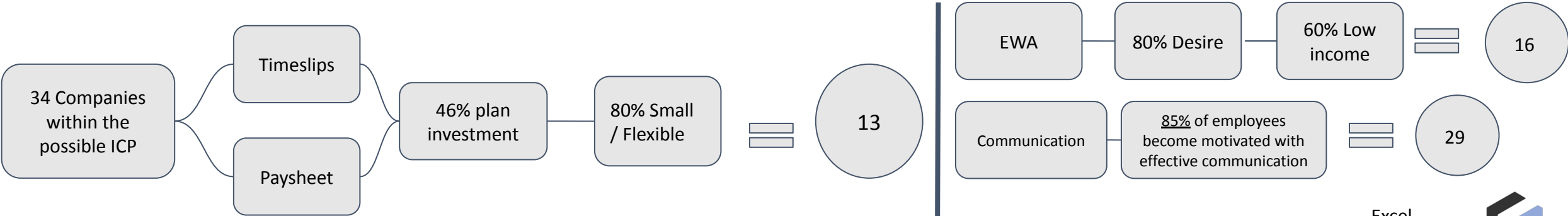
Considering 34 total companies, with an average of 1,812 employees, this suggest a total of 61,618 employees in the industry. However, this number is shrunk to 43,132 when considering the 70% internet access rates and Whatsapp usage rates.



70%

Assumptions

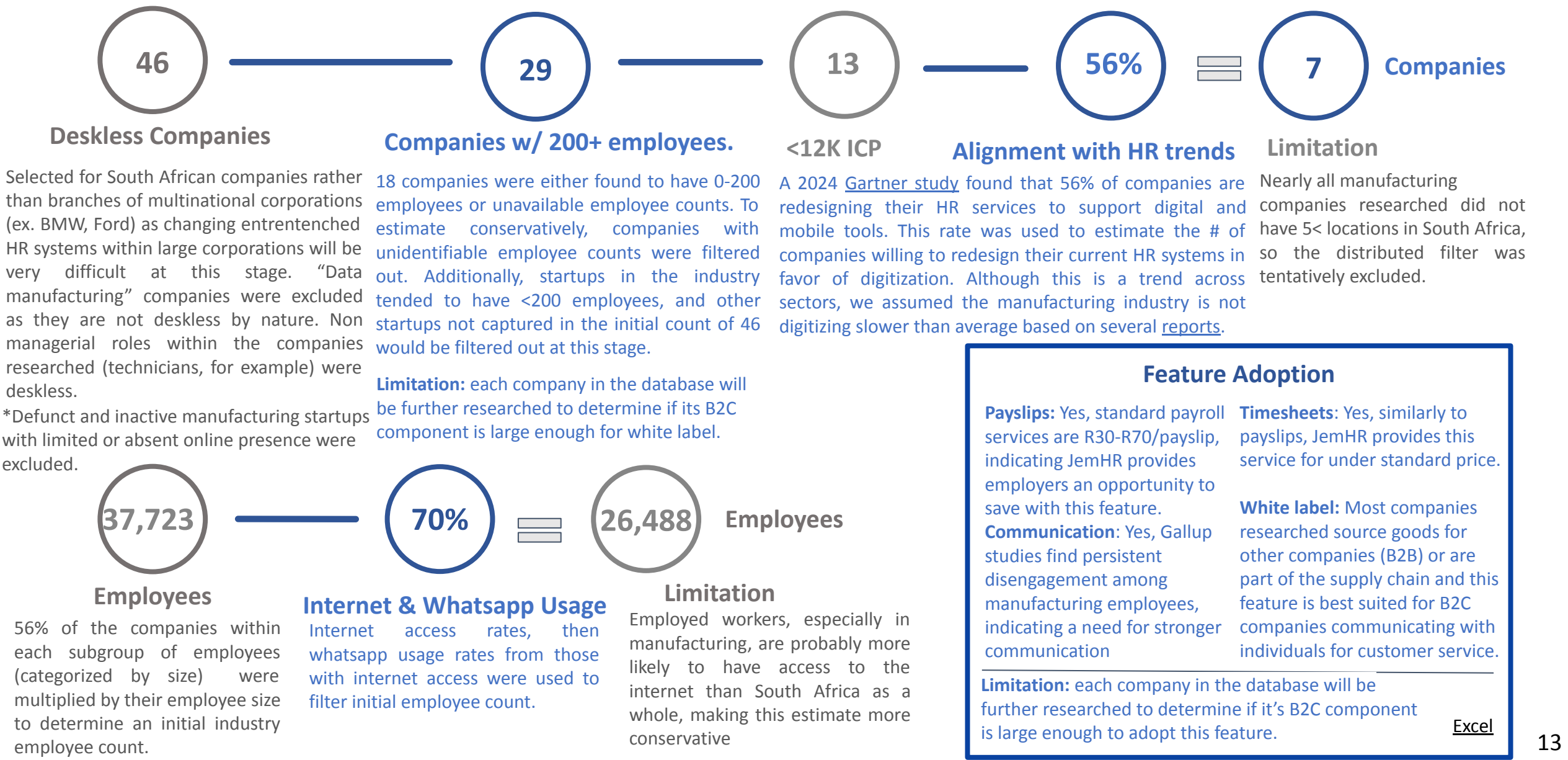
- All construction companies are distributed.
- 22.5% of employees in large enterprises is distributed evenly across all types of service, which it likely is not
- Data from US Construction industry role break down translates to South Africa



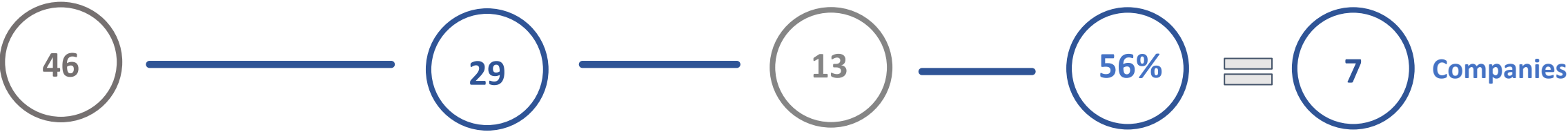
Excel



In the South African Manufacturing Industry, 7 Companies were estimated to fit JemHR's ICP



In the South African Manufacturing Industry, 17 Companies were estimated to fit JemHR's ICP



Deskless Companies

Selected for South African companies rather than branches of multinational corporations (ex. BMW, Ford) as changing entrenched HR systems within large corporations will be very difficult at this stage. “Data manufacturing” companies were excluded as they are not deskless by nature. Non managerial roles within the companies researched (technicians, for example) were deskless.

*Defunct and inactive manufacturing startups with limited or absent online presence were excluded.

Companies w/ 200+ employees.

18 companies were either found to have 0-200 employees or unavailable employee counts. To estimate conservatively, companies with unidentifiable employee counts were filtered out. Additionally, startups in the industry tended to have <200 employees, and other startups not captured in the initial count of 46 would be filtered out at this stage.

Limitation: each company in the database will be further researched to determine if it's B2C component is large enough for white label

<12K ICP

A 2024 [Gartner study](#) found that 56% of companies are redesigning their HR services to support digital and mobile tools. This rate was used to estimate the # of companies willing to redesign their current HR systems in favor of digitization. Although this is a trend across sectors, we assumed the manufacturing industry is not digitizing slower than average based on several [reports](#).

Alignment with HR trends

Limitation

Nearly all manufacturing companies researched did not have 5< locations in South Africa, so the distributed filter was tentatively excluded.



Employees

56% of the companies within each subgroup of employees (categorized by size) were multiplied by their employee size to determine an initial industry employee count.

Internet & Whatsapp Usage

Internet access rates, then whatsapp usage rates from those with internet access were used to filter initial employee count.

Limitation

Employed workers, especially in manufacturing, are probably more likely to have access to the internet than South Africa as a whole, making this estimate more conservative

Feature Adoption

- Payslips** ✓: **Timesheets** ✓:
- standard payroll services are R30-R70/payslip; payroll management 3k-15k/month
 - For both features above, JemHR provides this service for under standard price
- Communication** ✓ Gallup studies find persistent disengagement among manufacturing employees, indicating a need for stronger communication
- White label** × Most companies researched source goods for other companies (B2B) or are part of the supply chain and this feature is best suited for B2C companies communicating with individuals for customer service.

Considerations & Next Steps

JemHR is recommended to enter the low income retail industry first

Industry Entry Sequencing & Reasoning

- Low Income Retail
 - Low income retail presents both the largest company base, and total employee count. Furthermore, based on industry trends on employee satisfaction and digitization, we anticipate high implementation rates with massive benefits for the industry.
- Construction
 - Though construction still presents an exciting opportunity, it is less attractive than low income retail. The market is dominated by medium, small and micro enterprises not fitting within the ICP, leading to less companies and employees to pitch products to.
- Manufacturing
 - This industry presented the biggest challenges with regards to fitting in the current ICP. Both the distributed and income filter were applied very loosely, as they would have eliminated almost all companies in the industry. The remaining companies boast high employee counts, which presents an opportunity for employee driven revenue, though also would likely boast lower adoption rates as larger companies are generally less flexible in changing their HR systems.

Key Decisions

Next Steps

Our next steps:

- Market sizing refinement
 - Incorporating pricing to determine TAM
 - Deeper competitor to determine a more accurate sizing
 - Database development
 - Adding tags, qualities, and filters to ICP-aligned companies identified in the database
 - Visioning & Ideation
 - Develop specific strategies to enter the industries
-
- Stakeholder Interviews
 - Internal JemHR employees
 - HR Leaders in target industries
 - Employers using JemHR
 - Frontline workers not using JemHR

QUESTIONS

Appendix

Market sizing the Low-Income Retail Industry in South Africa

Low-Income Retail Market Sizing

File Edit View Insert Format Data Tools Extensions Help

100% 123 Default... 10 B I A

Share M

A1	fx	Table 1.1				
	A	B	C	D	E	
1	Table 1.1					
2	Total Population in South Africa	40.77% are employed	21% employed in the retail sector			
3	61,027,655	24,880,975	5,225,005			
4						
5	#Of Companies in Retail with > 250 employees	372	Assumptions based on Table 1.3			
6	#Of Companies in Retail with > 250 employees and earn < 12K Rand	301	Assumptions based on Table 1.4			
7	#Of Companies in Retail with > 250 employees, < 12K Rand, and distributed	294	Assumptions based on Table 1.5			
8						
9	#Of Companies interested in EWA services	97	Assumptions based on Table 2.13			
10	# Of Companies interested in Communication Services	46	Assumptions based on Table 3.13			
11	#Of Companies Interested in Payslips and Timesheets services	64	Assumptions based on Table 4.1			
12	Total No. Of companies that fit ICP and are interested in all 4 services combined	208				
13						
14	Filter 1: COMPANIES WITH WORKFORCE > 250					
15	Table 1.2 (Estimating the total population in 2024 for each type of retail)					
16	Type of retail trade	Total employees (2018)	% out of total employment	Estimate for (2024)	Assumption	Enterprise size
17	Non-specialised stores with food, beverages and tobacco predominating	305,442	38%	2,005,345	The employment percentage of workers in each type of retail will remain slightly the same in 2024	
18	Other non-specialised stores	46,856	6%	307,628		Large Enterprise
19	Food, beverages and tobacco in specialised stores	62,312	8%	409,102		
20	Pharmaceutical and medical goods, cosmetic and toilet articles	54,413	7%	357,242		Medium (50 - 249)
21	Textiles, clothing, footwear and leather goods	176,668	22%	1,159,894		
22	Household furniture, appliances, articles and equipment	36,454	5%	239,335		Small (10 - 49)
23	Hardware, paints and glass	49,354	6%	324,028		
24	Other specialised stores	48,490	6%	318,356		Micro (1-9)

+

Market Sizing for Low-Income Retail



Market sizing the construction industry in South Africa

	A	B	C	D	E	F	G	H	I	J	K	L	M
1	Business Context												
2	Types of Service	Total Employees		Enterprise Size	% of Employee Population	Employees Per Enterprise Sizes		Sample of Large Enterprise Companies	Employee Count		Total amount of Businesses in Large enterprise		
3	Site Preparation	8713		Large Enterprise (250+)	22.50%	106473.15		Doron Construction	360				
4	Construction of buildings	115229						Gothic Construction	5,000				
5	Construction of civil engineering structures	121157						GIBB Construction	600				
6	Construction of other structures	11942		Medium Enterprise (50 - 249)	23.30%	110258.862		Tri Star	274		Amount of employees working at Large Enterprise companies / Average employee count		
7	Construction by specialist trade contractors	21784						Concor	3000				
8	Plumbing	18089						Motheo	370				
9	Electrical contractors	41933		Small Enterprise (10 - 49)	16.60%	78553.524		CSV Construction	500				
10	Shoplifting	3630						Temi Construction	800				
11	Other building installation	29456						Esor Construction	400				
12	Painting and decorating	9494		Micro Enterprise (1-9)	37.60%	177928.464		Power Group	917				
13	Other building completion	72042						Basil Read	4,670				
14	Renting of construction or demolition equipment with operator	19745						Steffanuit	900				
15				Source: StatsSA				Murray and Roberts	10,000				
16	Source: StatsSA							Ruwacon	300				
17								Actophambili Roads	606				
18								Enza Construction	300				
19	Total:	473214			100%	473214		Average:	1812.3125		58.74988447		
20	Key Insights: There are 59 companies that fit within JemHR's size requirements												
21													
22	First filter: Income												
23	Types of Service	Average Income in Rand	Above or below 12Kpm	Employees within Large Enterprise in each Type of Service	Number of Companies	Number of Companies (Rounded)	YES Companies	NO Companies			Assumptions		
24	Site Preparation	189602	NO	1960.425	1.081912252	1					Assume that all 22.5% of employees in large enterprises is evenly distributed across all types of service, which in reality it isn't		
25	Construction of buildings	136684	YES	25926.525	14.30823675	14							
26	Construction of civil engineering structures	180840	NO	27260.325	15.04432947	15							
27	Construction of other structures	197371	NO	2686.95	1.482864238	1							
28	Construction by specialist trade contractors	119170	YES	4901.4	2.704966887	3					Assume that the amount of companies that are in the "YES" section but actually pay their employees more than 144K cancels out the amount of companies that are in the "NO" section but pay employees less than 144k		
29	Plumbing	100835	YES	4070.025	2.246150662	2							
30	Electrical contractors	142895	YES	9434.925	5.206912252	5							
31	Shoplifting	160606	NO	816.75	0.450745033	0							
32	Other building installation	210657	NO	6627.6	3.657615894	4							
33	Painting and decorating	141142	YES	2136.15	1.178890728	1							
34	Other building completion	95389	YES	16209.45	8.945612583	9							
35	Renting of construction or demolition equipment with operator	231248	NO	4442.625	2.451779801	2							
36	Total:			106473.15	58.76001656	57	34	23					
37	Key Insights: Since the data is averaged, obviously not all employees in each industry is making exactly that average, but JemHR should first target the 34 businesses within the construction that are averaging below 12KPM, as they fit better within the ICP												



Market sizing the manufacturing industry in South Africa

	A	B	C	D
1	Distributed	% of companies	# of companies	*These are filters
2	Yes (>5 locations)			
3	No (<5 locations)			
4	Total:		34	
5	Note: nearly all manufacturing companies researched did not have 5< locations in SA,			
6	To maintain alignment with "deskless" aspect of ICP, digital manufacturing is excluded			
7	Deskless south african manufacturing companies: 47			
8	Starting with a smaller count of companies as I selected for South African companies			
9	Employee ct	% of companies	# companies	
10	0-200	36%	15 + 3 unknown which were excluded	
11	200-500	16%	7	
12	501-1k	9%	4	
13	1k-5k	18.60%	8	
14	5k-10k	16.30%	7	
15	10,000+	9.30%	3	
16	Total:	100%	46	
17	Income	% of companies	# of companies	
18	<R12k		13	
19	>R12k		16	
20	Total:		29	
21	Alignment with t	% of companies	# companies	
22	56% of companies are redesigning their HR services to support digital and mobile tools			
23				
24	Yes	56%	7	
25	No	44%	6	
26	Total:		13	
27	COMPANY CT		7 companies	
28				

Transaction Volume Market Sizing (For financial services)		
sum(companies * average size)		
(7.5k)+(750)+(3k)+(3k)+(350)		
Sappi 12,800 Tiger Brands 10323		
Total Employees: 37,723 *TAM		
Adoption Rate among employee count		
source: https://www.statista.com/statistics/484933/internet-user-re		
limitation: rate is very likely higher among employed		
whatsapp use source: https://www.statista.com/statistics/1189958/		
Internet Use	% of employees	# of employees
Yes	75%	28,179
No	19%	9,544
Total:		37,723
Whatsapp Use	% of employees	# of employees
Yes	94%	26,488
No	6%	1,691
Total:		28,179

cost of paper timesheets to companies		appx 10% payroll cost
FEATURES	PRICE	ADOPTION
Payslips	5.90R/employee/mo	Yes
standard payroll cost per employee		50R/monthly payslip
Communications	2.80R/employee/mo	Yes
Cheaper than competition		
White label	10,000R/mo	%B2C manufacturing
Only B2C manufacturing companies would have a need for this service		

